

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 3989

By: Caldwell (Trey)

COMMITTEE SUBSTITUTE

An Act relating to the Retail Electric Supplier
Certified Territory Act; amending 17 O.S. 2021,
Section 158.25, as amended by Section 1, Chapter 95,
O.S.L. 2023 (17 O.S. Supp. 2025, Section 158.25),
which relates to exclusive rights within territory;
modifying when certain electric retail suppliers can
extend certain services; requiring certain fees under
certain circumstances; excluding specific sources of
funding for those fees; and providing an effective
date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 17 O.S. 2021, Section 158.25, as
amended by Section 1, Chapter 95, O.S.L. 2023 (17 O.S. Supp. 2025,
Section 158.25), is amended to read as follows:

Section 158.25. A. Except as otherwise provided herein, each
retail electric supplier shall have the exclusive right to furnish
retail electric service to all electric-consuming facilities located
within its certified territory, and shall not furnish, make
available, render or extend its retail electric service to a
consumer for use in electric-consuming facilities located within the

1 certified territory of another retail electric supplier; provided
2 that any retail electric supplier may extend its facilities through
3 the certified territory of another retail electric supplier, if such
4 extension is necessary for such supplier to connect any of its
5 facilities or to serve its consumers within its own certified
6 territory.

7 B. Except as provided in subsections C and E of this section,
8 any new electric-consuming facility located in an unincorporated
9 area which has not as yet been included in a map issued by the
10 Commission, pursuant to Section 158.24 of this title, or certified,
11 pursuant to Section 158.24 of this title, shall be furnished retail
12 electric service by the retail electric supplier which has an
13 existing distribution line in closer proximity to such electric-
14 consuming facility than is the nearest existing distribution line of
15 any other retail electric supplier. Any disputes under this
16 subsection shall be resolved by the Commission.

17 C. If the Commission, after hearing, shall determine that the
18 retail electric service being furnished or proposed to be furnished
19 by a retail electric supplier to an electric-consuming facility is
20 inadequate and is not likely to be made adequate, the Commission may
21 authorize another retail electric supplier to furnish retail
22 electric service to such facility.

23 D. Except as provided in subsection C of this section, no
24 retail electric supplier shall furnish, make available, render or

1 extend retail electric service to any electric-consuming facility to
2 which such service is being lawfully furnished by another retail
3 electric supplier on September 10, 1971, or to which retail electric
4 service is lawfully commenced thereafter in accordance with this
5 section by another retail electric supplier.

6 E. The provisions of this act shall not preclude any retail
7 electric supplier from extending its service after September 10,
8 1971, (1) to its own property and facilities, in an unincorporated
9 area, and (2) subject to subsection D of this section, to an
10 electric-consuming facility requiring electric service, in an
11 unincorporated area, if the ~~connected~~ actual total metered load for
12 initial full operation of such electric-consuming facility is to be
13 1,000 kw or larger. After August 26, 2026, the penalty for
14 violating subsection F of this act shall be payment of one percent
15 (1%) of sales per annum paid to the offended retail electric
16 supplier and shall not be paid from customer-generated revenues.

17 F. To achieve the purposes of efficient, cost-effective retail
18 electric service without duplication of electric facilities and to
19 avoid unfairly shifting costs to residential consumers, retail
20 electric service providers are required to establish and utilize
21 rate tariffs which are specifically applicable to a rate class of
22 customers composed of electric consuming facilities being served in
23 accord with the 1,000 kw size exception found in subsection E of
24 this section and located outside the retail electric service

1 provider's certified territory. These tariffs may be for a specific
2 electric consuming facility or for a class of electric consuming
3 facilities taking service under this provision. For retail electric
4 service providers that are rate-regulated by the Commission, the
5 rates supporting this rate class shall be determined in the rate-
6 regulated service provider's most recent rate proceeding. Rates for
7 this rate class shall be designed to recover (i) the costs of
8 extending service to the competitive load of electric consuming
9 facilities of 1,000 kw or larger located outside the retail electric
10 service provider's certified territory; and (ii) the allocated share
11 of other costs associated with providing service to the electric
12 consuming facility. Such tariffs shall be cost-of-service based and
13 shall not subsidize other rate classes or be subsidized by other
14 rate classes. Unless costs of extending service to such a new load
15 are collected from the customer, those costs shall be included in
16 the cost of service study in the next rate proceeding. If the
17 electric service provider, in whose certified territory the
18 competitive load is seeking electric service, chooses in writing not
19 to compete for said competitive load or does not respond within
20 thirty (30) days of receiving written notice by the customer, the
21 terms of this subsection shall not apply.

22 SECTION 2. This act shall become effective November 1, 2026.
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